BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 & 25-G-0073

June 24, 2025

Rebuttal Testimony of:

David Garrett

Resolve Utility Consulting PLLC
5000 Carrington Place
Oklahoma City, OK 73131

Q. State your name, business address, and occupation.

A. My name is David Garrett. I am a consultant specializing in public utility regulation. I am the managing member of Resolve Utility Consulting, PLLC. My business address is 5000 Carrington Place, Oklahoma City, Oklahoma 73131.

Q. Have you previously filed testimony in this proceeding?

A. Yes. I filed direct testimony in this proceeding on May 30, 2025, on behalf of the Utility Intervention Unit (UIU) regarding depreciation.

Q. What is the purpose of your rebuttal testimony?

A. My rebuttal testimony will address the Direct Testimony of the Department of Public Service Staff (Staff) Finance Panel regarding the authorized return on equity (ROE) it proposed for Consolidated Edison Company of New York, Inc. (Con Edison or the Company).

Q. Have you testified on rate of return issues in other regulatory proceedings?

A. Yes. I have filed testimony in dozens of regulatory proceedings in numerous jurisdictions regarding the authorized ROE for utilities. I am a Certified Rate of Return Analyst with the Society of Utility and Regulatory Financial Analysts. A more complete description of my qualifications and regulatory experience was discussed in my direct testimony on pages 1 to 2, and in Exhibit DJG-1.

Q. Have you prepared any exhibits to be filed with your rebuttal testimony?

A. Yes. The following is a list of the exhibits I have relied upon in preparing my testimony:

- Exhibit__(DJG-17), which is an expert survey titled "Survey: Market Risk Premium and Risk-Free Rate used for 54 countries in 2025."
- Exhibit__(DJG-18), which is a report by Kroll on the equity risk premium titled "Kroll Cost of Capital Inputs Updated to Reflect Heightened Uncertainty in Global Economy."

Q. Please summarize Staff's position regarding the authorized ROE.

A. Staff is proposing an authorized ROE of 9.3 percent. (Direct Testimony of Staff Finance Panel, at 6, lines 8-9). Staff determined this estimated cost of equity by applying a two-thirds weighting to its Discounted Cash Flow (DCF) Model result of 8.65 percent and applying a one-third weighting to its Capital Asset Pricing Model (CAPM) result of 10.38 percent. (Direct Testimony of Staff Finance Panel, at 91, lines 1-6).

Q. Are you taking any issue with Staff's DCF Model results or the weightings it applied to the modeling results?

A. No. My rebuttal testimony relates to the inputs Staff applied to the CAPM.

Q. Please summarize the inputs Staff used in its application of the CAPM.

A. The traditional CAPM essentially has three inputs, and the formula is as follows: Cost of Equity = Risk-free Rate + Beta * Equity Risk Premium. Staff's estimated cost of equity under

the traditional CAPM using these inputs is as follow: 4.5 percent + 0.89 * 6.5 percent = 10.29 percent. Staff also conducted another variation of the CAPM which yielded a slightly higher result. In my opinion, the 4.5 percent risk-free rate and the beta of 0.89 are reasonable. However, I believe the equity risk premium (ERP) input of 6.5 percent is unreasonably high.

Q. Please summarize what the ERP is and how it can be estimated.

A. The ERP is the required return on the market portfolio less the risk-free rate. Essentially, it is an investor required return for investing in the entire U.S. equity market. Another way to state this is that the ERP is the cost of equity of the U.S. equity market. There are several ways the ERP can be estimated. In addition, since the ERP is an important figure and data point for all investors and managers, there are objective sources which publish their estimates of the ERP. Expert surveys are also conducted in which respondents are asked about their expert opinions on the ERP.

Q. What do other experts report as the current ERP?

A. The IESE Business School conducts annual expert surveys for the ERP. In its 2025 survey, more than 1,000 expert respondents reported an average ERP of 5.5 percent. (See Exhibit__(DJG-17), at 3)

Q. Did you also consider the ERP published by analysts?

A. Yes. The ERP recently estimated by Kroll (formerly Duff & Phelps) is exactly the same as the expert survey response, which is 5.5 percent. (See Exhibit__(DJG-18), at 1)

Q. Based on your expert opinion, do you believe an estimate of 5.5 percent for the ERP is more reasonable than the 6.5 percent estimate used by Staff?

A. Yes. I have conducted cost of capital analyses in several regulatory proceedings this year, all of which involve estimating the ERP. Since the ERP is market-driven and not company-specific, it should not be expected to change from case-to-case over a relatively short period of time. Based on my own analyses as well as the ERP reported by Kroll and the IESE expert survey, I believe an ERP estimate of 5.5 percent

is towards the higher end of a reasonable range of estimates for the ERP.

Q. What would the results of Staff's traditional CAPM had been if an ERP estimate of 5.5 percent were utilized?

A. If Staff had used an input of 5.5 percent for the ERP in its traditional CAPM application, the indicated cost of equity would have been 4.5 percent + 0.89 * 5.5 percent = 9.4 percent.

Q. If Staff's weightings were applied to its DCF Model result and the CAPM result discussed above, what would be the indicated cost of equity?

A. If the same two-thirds weighting is applied to Staff's DCF result of 8.65 percent and a one-third weighting is applied to the CAPM result of 9.4 percent described above, the indicated ROE for the Company would be 8.9 percent. Accordingly, I recommend the Commission adopt an ROE of 8.9 percent for the Company.

Q. Does this conclude your testimony?

A. Yes.